

JPM FX – Derivatives Chartpack Notes

Long USD vol vs short x-vol for capturing gamma noise
| Low-cost, positive decay USD or EUR topside skew
RV: NOK vs BRL

- USD-centric gamma noise should continue to be supportive of firm USD correlations. Buy long USD/PLN or SEK vs short EUR/PLN or SEK in vol space. The spread is priced cheaply and has been robustly performing.
- CCY-NOK Risk Reversals are screening cheap while those of CCY-BRL are flagging expensive. This opens the door for a low-cost, positive decay USD – or EUR – topside skew RV that has performed strongly over the last 3 years.

Firm USD correlations in form of long USD vols / short x-vols RVs

Following the Nov malaise and on the back of the late-Dec bounce, FX vols are now back above 8vol handle and within the range in which they spent the bulk of the second half of 2023. Our [gamma trading models](#) are suggesting that FX vols may be contained within the same channel once again, the notion supported by the FX vols January seasonality.

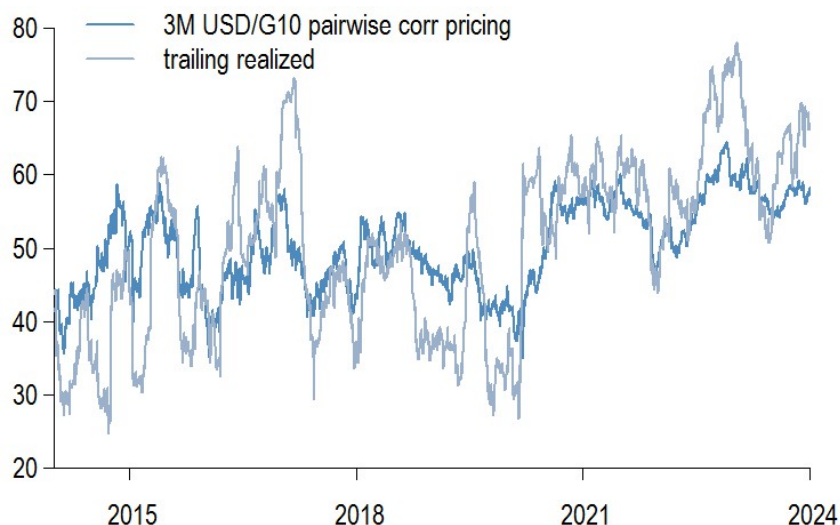
Global FX Strategy

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Figure 1: Despite undershooting the trailing realized corrs by almost 9pts, USD corr remains nominally priced and is little changed on w/w basis.



Source: J.P. Morgan.

Within such sideways FX vol backdrop, we think it is worth harvesting gamma noise via vol RV. Namely, the outperformance of USD vols over x-vol is still here to stay even if the turn-of-the-year USD rally slows down.

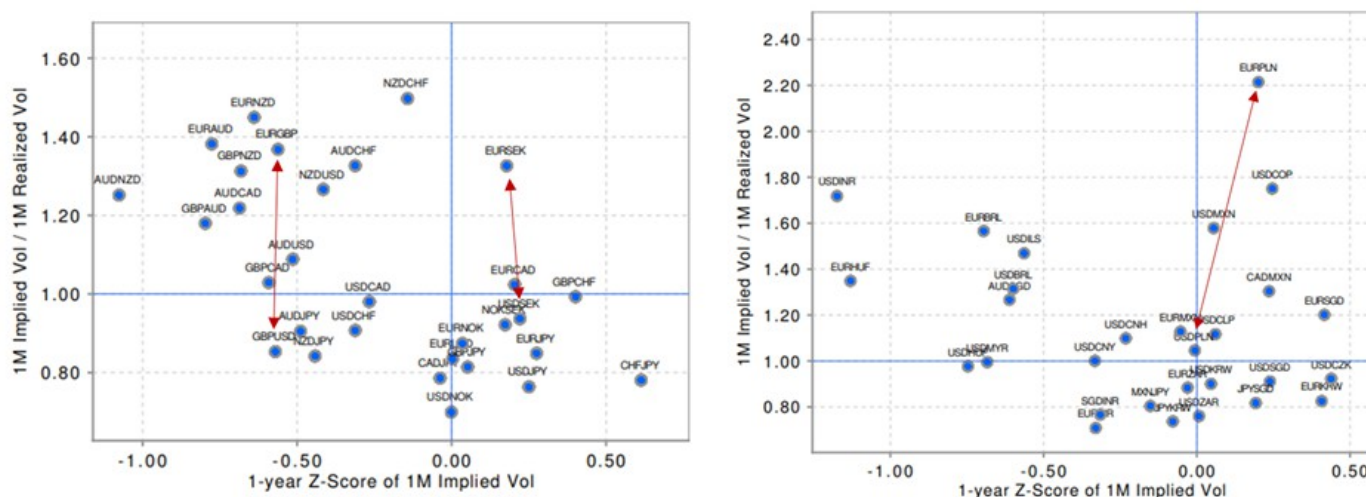
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We introduced that sleeve of vol RVs in our Nov Year Ahead Outlook and reiterated it in [Dec](#) and earlier [this week](#). In line with that, USD corrs have been realizing by almost 9corr pts even as corr pricing remains sticky around the long-running average (**Figure 1**).

Figure 2 highlights a few of the RVs of interest within USD vols vs EUR x-vol space, though CHF x-vol space contains also some interesting candidates. G10's long GBP vol vs short EURGBP vol, which we already own, has been performing well and has potential to continue so for longer.

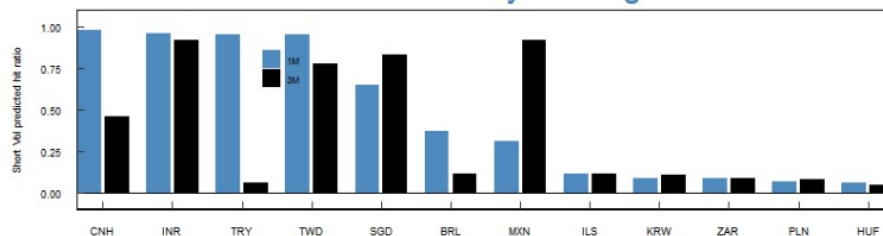
Figure 2: Vol setup is favorable for USD/SEK vs EUR/SEK vol spread in G10 and USD/PLN vs EUR/PLN vol spread in EM.



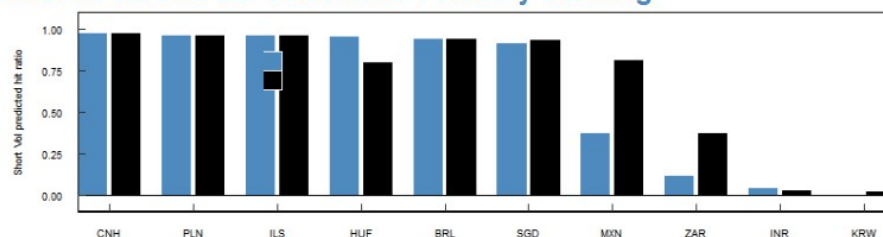
Source: J.P. Morgan.

Figure 3: Gamma trading machine learning model in addition to the PLN-based vol spread find HUF to be similarly appealing.

USD/EM 1M and 3M Structures Volatility Ranking



EUR/EM 1M and 3M Structures Volatility Ranking



Source: J.P. Morgan.

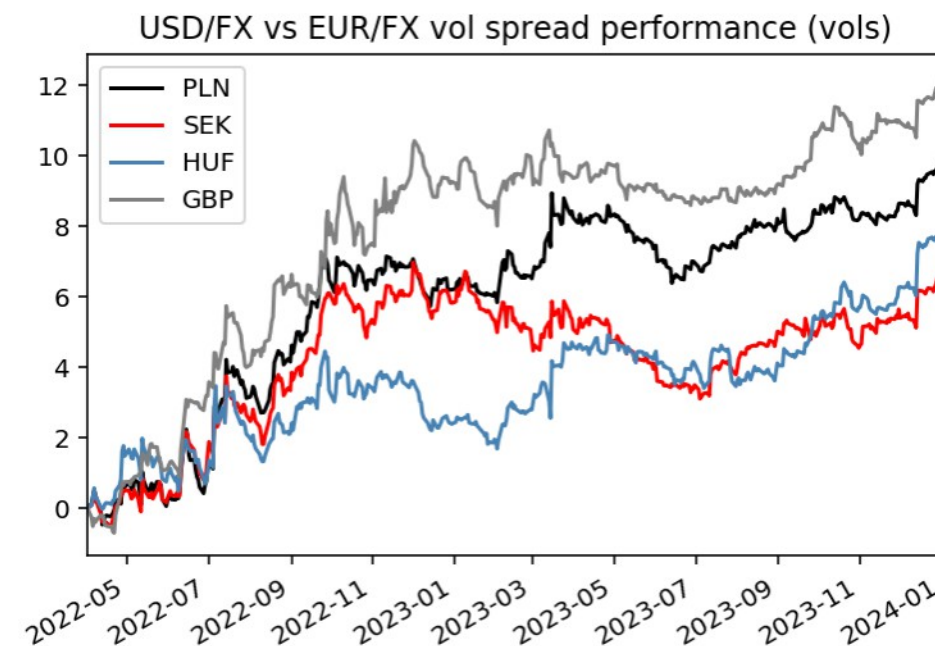
Long USD/SEK vol vs short EUR/SEK vol is another candidate within G10 while within EM long USD/PLN vs short EUR/PLN setup is one of the more lopsided ones within EM. Both RVs fared recently better when expressed in vol space than as live downside FX trades and that's likely to continue to be the case. Gamma trading machine learning model is highlighting HUF-based vol RV alongside the PLN counterpart (**Figure 3**)

USD/PLN - EUR/PLN vol RV is boosted by very soft EUR/PLN realized vol. Even in event that the realized vol spread normalizes by 2-3vols, the RV would still perform by ~0.7vols amid currently favorable entry levels. A simple regression of historical monthly P/Ls on changes in vol spread pricing and realized vol performance suggests monthly P/L of the spread on the order of 1.7vol pts if the market conditions hold.

One risk is associated with the fact that the RV is effectively an EUR/USD vol proxy, so if EUR gets stuck around the current levels, the RV may start to struggle as well. That said, currently the RV's realized vol spread is by more than 1sigma better than the corresponding EUR realized vol, implying that there is room for the spread's performance despite the correlation between the two vols.

Figure 4: Solid recent performance across USD/FX-EUR/FX vol RV block.

Delta hedged daily at smile delta with expiry matched forwards. No TC.



Source: J.P. Morgan.

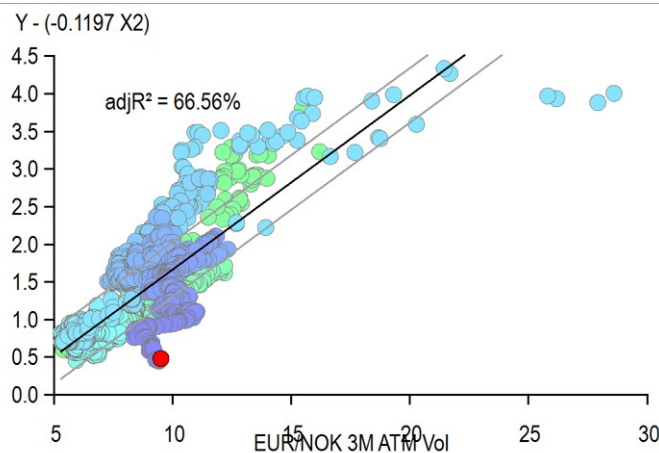
Robust recent performance is seen across the USD/FX-EUR/FX vol RV block almost irrespective of the pivot currency (**Figure 4**), and if we are right about USD gamma continuing to be firm, the performance should continue. While historically delta-hedged long atm vs short 25d strangle constructs have been preferred, the current cheapness of wings is discouraging and making long/short atm vol spread more favorable. Consider buying long USD/PLN atm vs short EUR/PLN atm vol spread @3.75 (mids).

USD/NOK - USD/BRL call switch

USD skew has been hammered hard and even after this week bounce it remains the near the post-COVID low. That said, a few dislocations caught our eye. For example USD and EUR/NOK risk reversals look quite subdued (still within the broader trend but on a bit more material side) while USD and EUR/BRL's look elevated, especially when implied vs realized spot-vol corr is considered. This opens an opportunity to combine the two setups on an RV basis.

Figure 5: EUR/NOK Skew looks cheap on a two-factor regression model vs nominal carry and ATM vol...

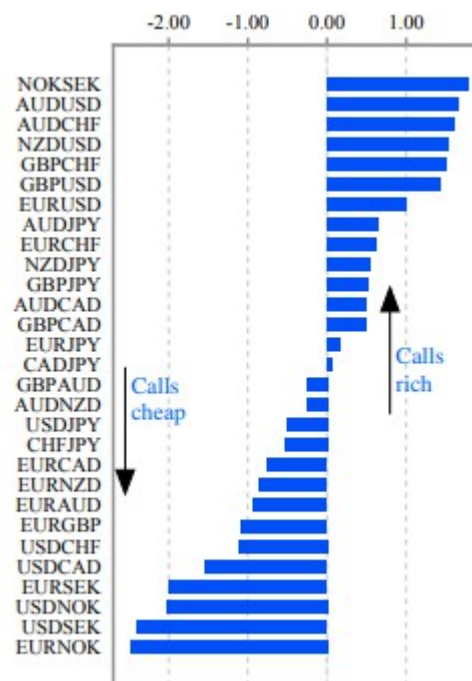
3M EUR/NOK 25D Risk Reversal vs 3M carry and 3M ATM Vol in a two-factor regression (10Y data; 67% Adj. R-squared). Y is the Risk Reversal, X2 is the nominal carry – the current residual is almost -1.1 vol pts



Source: J.P. Morgan.

Figure 6: ... It also looks cheap on a time-series and cross-sectional basis.

2Yr Z-Score (3M 25D RR/ATM Ratio) for G10. See [here](#).



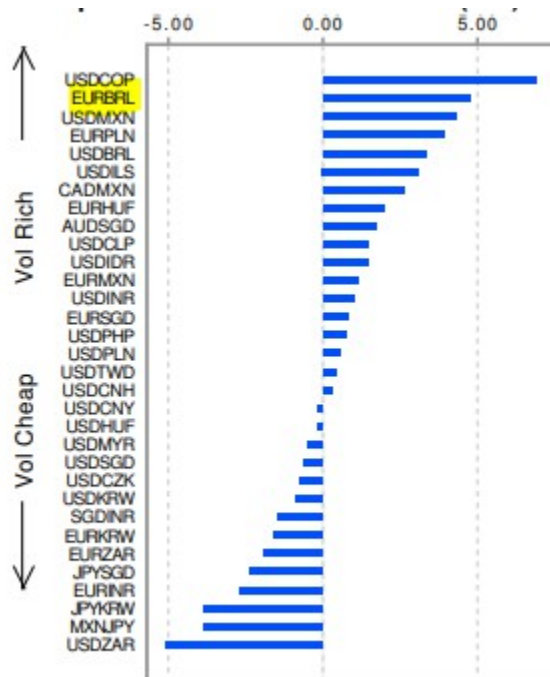
Source: J.P. Morgan.

Figure 5 shows an output of the model that we traditionally use for analyzing skew and indicates the cheapness of the EUR/NOK risk reversal for EUR/NOK calls. The model (introduced [here](#)) uses a two-factor regression model that regresses market quoted risk reversal vol prices vs atm vols and carry. The risk reversal also screens as the one of cheapest on 2-y z-score (basis 3M 25D RR/ATM Ratio) among the G10 skews (Figure 8).

On the other side of the spectrum is BRL. Figure 7 finds EUR/BRL vols to be among the richest in terms of vol carry. The corresponding risk reversal look rather expensive on a 2y z-score (calculated for 3M 25D RR/ATM ratio) cross-sectional basis (Figure 8). In page 5 of [this report](#) we can see that EUR/BRL is also the second most preferred range trade. All of this points to the richness of the EUR/BRL vols and, in particular, to the richness of the topside calls.

Figure 7: EUR/BRL vol carry is one of the widest in EM.

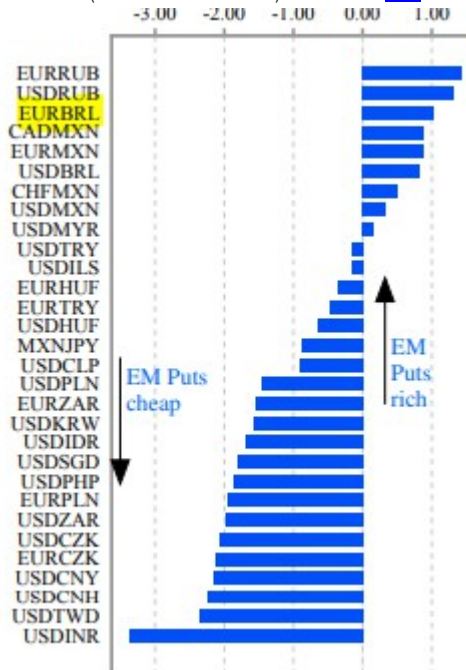
1M Implied Vol - 1M Realized Vol (EM)



Source: J.P. Morgan.

Figure 8: EUR/BRL risk reversals looks expensive on a time-series and cross-sectional basis.

2Yr Z-Score (3M 25d RR/ATM Ratio) for EM. See [here](#).



Source: J.P. Morgan.

Hence, combining both dislocations on an RV format could be a profitable way of collecting a premium that is highly correlated with the carry trade. USD-pairs setup is largely similar to the above outlined EUR-crosses. This would isolate the trade in case of a reversal of the dollar in the coming months, given that the USD/NOK calls would perform while USD/BRL would likely stay range-bound given the carry buffer in the Latam currency.

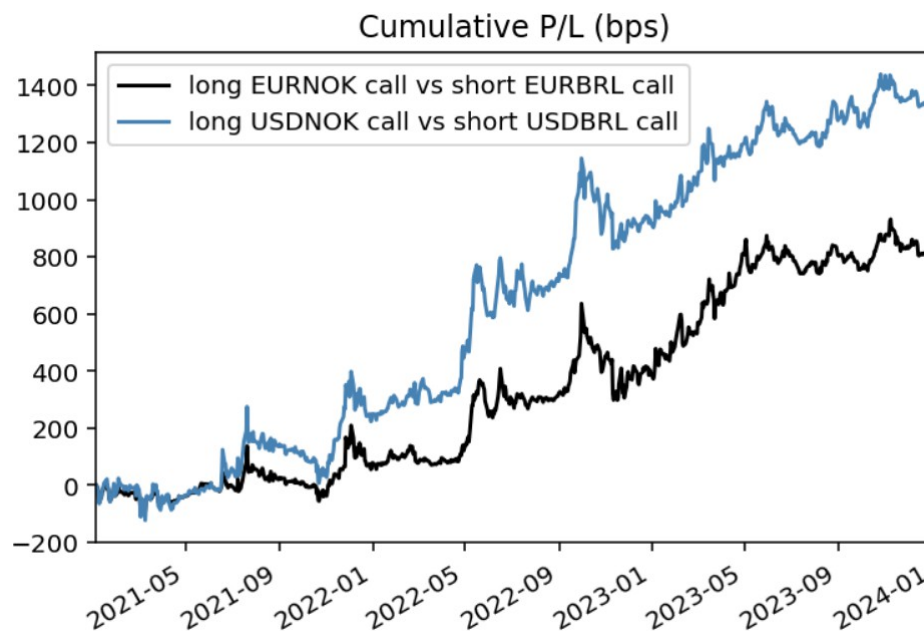
In Figure 9 we can see how the long CCY/NOK vs CCY/BRL call RV has been associated with a positive PnL over the last 3 years, in both times of USD strength and weakness. Even on a heavy risk-off mood the trade would be relatively isolated as a result of the strong performance of the USDNOK calls in such occurrences. One risk that the construct poses is in case of an isolated EM carry trade drawdown that would not affect G10 high beta. We do not see this crack in carry happening in the near term, but just in case we keep the structure in relative short tenors (3m). Thus consider:

— long USD/NOK 25d 3m Call vs short USD/BRL 25d 3m Call for 9 bps received (Mid). Keep Live.

— long EUR/NOK 25d 3m Call vs short EUR/BRL 25d 3m Call for 27 bps received (Mid). Keep Live.

Figure 9: Long CCY/NOK vs CCY/BRL calls RV has been associated with a positive PnL in the last 3 years.

PnL in bps for long EURNOK call (25D 3M) vs short and EURBRL call (25D 3M). Daily trading and held 2 months. No costs included. Also computed for equivalent USD-pairs.



Source: J.P. Morgan.

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